9	2009-1-CV-151518	Colorado Capital Investments, Inc. vs E. Barrera	Judgment debtor's motion to set aside the order to sell dwelling is DENIED. Judge debtor had notice of the hearing the lead to entry of the order. There is no basis to set aside the order. These rulings will be reflected in the minutes.
10	24CV432080	SERENITY MSO LLC et al vs PALO ALTO MIND BODY et al	The Court orders the parties to appear at the hearing and provide further argument regarding the application of *Gloster v. Sonic Automotive, Inc.* (2014) 226 Cal. App. 4th 438, 449; *Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376; *Rodriguez v. American Technologies, Inc.* (2006) 136 Cal.App.4th 1110; and *Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337. See line 10 below for more fulsome explanation.

Line 3

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

BERNARD APPEL, Plaintiff, v. CITY OF SAN JOSE, [DOE] GINGERY, and DOES 1 – 20 inclusive, Defendants.	Case No. 24CV450028 **ORDER SUSTAINING DEFENDANTS' DEMURRER WITH LEAVE TO AMEND**

Defendants' demurrer to Plaintiff's first amended complaint ("FAC") came on for hearing before the Court on June 12, 2025. Pursuant to California Rule of Court 3.1308, the Court issues its tentative ruling.

I. Alleged Facts

While walking in the downtown San Jose area on August 19, 2023, Plaintiff Bernard Appel and his girlfriend got into an argument that prompted bystanders to call the police reporting a domestic disturbance, and San Jose police officers arrested Mr. Appel. (FAC ¶ 5.)

Upon arrival, Officer Gingery immediately put Plaintiff in an arm bar without asking him any questions and slammed his head into a metal fence. Plaintiff did not resist the arm bar. (FAC ¶ 6.) Plaintiff attempted to inform the officer of his recent neck injury but in response the officer took him to the ground and placed his forearm on the back of Plaintiff's neck and upper back. There was no objective reason for the officer to perform a takedown and make forceful contact with his neck and back since Plaintiff did not pose any physical threat to anyone. (FAC ¶ 7.)

Plaintiff initiated this action on October 21, 2024, and after meeting and conferring with Defendant regarding the inaccuracy of certain alleged facts, amended his complaint on January 24, 2025, asserting (1) negligence, (2) battery, (3) violation of Bane Act, and (4) violation of California Public Records Act.[1]

II. Legal Standard

"The party against whom complaint or cross-complaint has been filed may object, by demurrer or answer as provided in [Code of Civil Procedure] section 430.30, to the pleading on any one or more of the following grounds: (e) The pleading does not state sufficient facts to constitute cause of action, (f) The pleading is uncertain." (Code Civ. Proc., 430.10, subds. (e) (f).) A demurrer may be utilized by "[t]he party against whom complaint has been filed" to object to the legal sufficiency of the pleading as whole, or to any "cause of action" stated therein, on one or more of the grounds enumerated by statute. (Code Civ. Proc., §§ 430.10, 430.50, subd. (a).)

The court treats demurrer "as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) "A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff's ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court." (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214.) In ruling on demurrers, courts may consider matters subject to judicial notice. (*Scott v. JPMorgan Chase Bank, N.A*. (2013) 214 Cal.App.4th 743, 751.) Evidentiary facts found in exhibits attached to complaint can be considered on demurrer. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.)

"Liberality in permitting amendment is the rule, if fair opportunity to correct any defect has not been given." (*Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227.) It is an abuse of discretion for the court to deny leave to amend where there is any reasonable possibility that

[1] Plaintiff dismissed the fourth cause of action on February 20, 2025.

plaintiff can state good cause of action. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349.) The burden is on the plaintiff to show in what manner plaintiff can amend the complaint, and how that amendment will change the legal effect of the pleading. (*Id*.)

III. Judicial Notice

Plaintiff asks the Court to take judicial notice of:

Exhibit 1 - Judicial Counsel of California's Invitation to Comment CACI 25-01 Civil Jury Instructions: Revisions to Judicial Council of California Civil Jury Instructions regarding CACI 3066: Bane Act—Essential Factual Elements.

This request is DENIED. This is a proposal; it is not a statute or record of official acts of the judicial department or legislature. The document states: "[t]his proposal has not been approved by the Judicial Council and is not intended to represent the views of the council, its Rules Committee, or its Legislation Committee. It is circulated for comment purposes only." The proposal is also irrelevant to this decision since its planned effective date is July 18, 2026.

Exhibit 2 - Plaintiff's first amended complaint filed in this action.

This request is GRANTED IN PART. Plaintiff's first amended complaint may be judicially noticed pursuant to Evidence Code section 452(d). However, "with respect to any and all court records, the law is settled that "the court will not consider the truth of the documents contents unless it is an order, statement of decision, or judgment. [Citation.]" (*Joslin v. H.A.S. Ins. Brokerage* (1986) 184 Cal.App.3d 369, 374-375.)

For the same reasons, Defendant's request for judicial notice of Plaintiff's complaint is GRANTED IN PART.

IV. Analysis

Defendants demur to Plaintiff's cause of action under the Tom Bane Civil Rights Act (Bane Act) for use of excessive force during his August 19, 2023 arrest. Plaintiff alleges officer Gingery used excessive force by placing him in an arm bar, slamming his head into a metal fence, taking him to the ground and keeping him down by placing his forearm on the back of his neck and upper back.

The Bane Act, codified at Civil Code section 52.1, provides a civil cause of action against anyone who "interferes by threat, intimidation, or coercion, or attempts to interfere by threat, intimidation, or coercion, with the exercise or enjoyment by any individual or individuals of rights secured by the Constitution or laws of the United States, or of the rights secured by the Constitution or laws of this state." (*Simmons v. Super Ct.* (2016) 7 Cal.App.5th 1113, 1125. Cal. Civ. Code § 52.1(a).) "The word 'interferes' as used in Section 52.1 has been construed as 'violates.'" (*Cornell v. City & County of San Francisco*, (2017) 17 Cal. App. 5th 766, 791.).

There is currently a split of authority regarding the evaluation of Bane Act claims based on arrests. Under *Shoyoye v. County of Los Angeles* (2012) 203 Cal.App.4th 947, 958, where coercion is inherent in the alleged constitutional violation, such as an unlawful arrest or an over detention in County jail, the statutory requirement of threats, intimidation, or coercion is not met. "The statute requires a showing of coercion independent from the coercion inherent in the wrongful detention itself." (*Shoyoye, supra*, 203 Cal.App.4th at 958.)

However, recently in *Reese v. County of Sacramento*, (9th Cir. 2018) 888 F.3d 1030 and in *Cornell, supra*, 17 Cal.App.5th 766, the First District Court rejected the "independent coercion requirement and instead imposed a specific intent requirement on Bane Act claims. Bane Act liability may therefore be established by showing the defendant possessed the specific intent to violate an individual's rights. (*Reese, supra*, 888 F.3d at 1045, *Cornell supra*, at 800.) The specific intent test under *Cornell* requires analysis of two issues: (1) whether the right at issue is clearly delineated and plainly applicable under the circumstances of the case; and (2) whether the defendant committed the act in question with the particular purpose of depriving the victim of his enjoyment of the interests protected by that right. (*Cornell, supra,* 17 Cal. App. 5th at 803.) "So long as those two requirements are met, specific intent can be shown 'even if the defendant did not in fact recognize the unlawfulness of his act' but instead acted in 'reckless disregard' of the constitutional right." (*Sandoval v. County of Sonoma*, (9th Cir. 2018) 912 F.3d 509, 520; internal citations omitted.) In other words, a reckless disregard for a person's constitutional rights is evidence of a specific intent to deprive that person of those rights. However, a mere intention to use force, albeit unreasonable, is general criminal intent and insufficient for a Bane Act claim. (*Reese*, *supra*, 888 F.3d 1044-1045)

Here, the FAC fails to clearly delineate the alleged violated right. Plaintiff's brief and conclusory reference to his constitutional right to be free from excessive force and unreasonable seizure does not clearly allege whether his arrest (seizure) was unreasonable or unlawful. The FAC also fails to allege facts showing the tactics the officer employed to effectuate an arrest for an alleged domestic disturbance in a public area was committed with the particular purpose of depriving Plaintiff of his protected constitutional interest. While the FAC alleges Plaintiff did not resist the officer's arm bar, the FAC does not allege facts showing Plaintiff complied with the officer's instructions. Conclusory statements that "Defendants intentionally and recklessly interfered, or attempted to interfere" with Plaintiff's constitutional right, are insufficient to defeat the demurrer.

Accordingly, Defendants' demurrer to Plaintiff's third cause of action for violation of the Bane Act is SUSTAINED WITH LEAVE TO AMEND.

Date: ____________________

____
Hon. Evette D. Pennypacker
Santa Clara Superior Court Judge

Line 5

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

SECOND OSBORN LLC, a Delaware limited liability company, Plaintiff, v. BRENT WEITEH LEE, an individua; LE GARDEN HA, LLC, a California limited liability company; LE GARDEN HC, LLC, a California limited liability company; LE GARDEN HD, LLC, a California limited liability company; LE GARDEN HOUSE, LLC, a California limited liability company; and DOES 1 through 100, inclusive, Defendants.	Case No. 23CV420315 **ORDER DENYING DEFENDANTS' MOTION TO VACATE DEFAULT AND DEFAULT JUDGMENT**

Defendants' motion to set aside default and default judgment and motion to quash subpoenas came on for hearing before the Court on June 12, 2025. Pursuant to California Rule of Court 3.1308, the Court issued its tentative ruling on June 11, 2025.

I. Background

Plaintiff Second Osborn LLC ("Second Osborn") filed this lawsuit on August 2, 2023 asserting claims for fraud and alter ego against Brent Weiteh Lee, Le Garden HA, LLC, Le Garden HC, LLC, Le Garden HD, LLC, and Le Garden House LLC. Plaintiff alleges it entered an agreement with Le Garden HB, LLC ("Le Garden HB") that required Le Garden HB to become obligated to comply with a ground lease associated with property Plaintiff owned at the time. According to Plaintiff, Brent Weiteh Lee owned Le Garden HB and provided false information about his finances which induced Plaintiff to enter the agreement. Plaintiff ultimately obtained a judgment against Le Garden HB, and Mr. Lee then transferred all assets out of Le Garden HB into his other business entities to avoid paying the judgment. Plaintiff sought compensatory and general damages in the amount of $133,559,132.52, among other relief.

The following chart summarizes service and entry of default as to each defendant.

Defendant	**Cupertino Address**	**Proof of Service**	**Default**
Le Garden HA, LLC	Principal address California address 7/16/23 SOI	<u>1/9/2024 2:18 PM</u> *Agent for service*: Brent Lee *Location*: 10430 S De Anza Blvd, Ste. 280 Cupertino California 95014 *Substitute service*: Yi Lin CPA/Accepting service *Mailed to*: LE GARDEN HA, LLC, a California limited liability company 10430 S De Anza Blvd Ste 280 Cupertino, CA 95014	8/13/2024
Le Garden HC, LLC	Manager/member Service of process 7/16/23 SOI	<u>10/19/23 11:17 a.m.</u> *Agent for service*: Brent Lee *Location*: 10430 S De Anza Blvd, Ste. 280 Cupertino California 95014 *Substitute service*: Yi Lin-CPA *Mailed to*: LE GARDEN HC, LLC, a California limited liability company 10430 S De Anza Blvd Ste 280 Cupertino, CA 95014	8/13/2024
Le Garden HD, LLC	Manager/member Service of process 7/16/23 SOI	<u>10/19/23 11:17 a.m.</u> *Agent for service*: Brent Lee	8/13/2024

		10430 S De Anza Blvd, Ste. 280 Cupertino California 95014 *Substitute service*: Yi Lin-CPA *Mailed to*: LE GARDEN HOUSE, LLC, a California limited liability company 10430 S De Anza Blvd Ste 280 Cupertino, CA 95014	
Le Garden House, LLC		<u>10/19/23 11:17 a.m.</u> (POS filed twice) Agent for service Brent Lee 10430 S De Anza Blvd, Ste. 280 Cupertino California 95014 Substitute service on Yi Lin-CPA Mailed to: LE GARDEN HOUSE, LLC, a California limited liability company 10430 S De Anza Blvd Ste 280 Cupertino, CA 95014	BASIC 12/20/2023 FULL 8/13/2024
Brent Weiteh Lee	**I.**	<u>8/25/2023 3:10 PM</u> *Location:* 10430 S De Anza Blvd Ste 280, Cupertino, CA 95014 *Service:* Bad Address. Per staff at AGAPE CPA Firm, subject was a former client and they can no longer accept service on their behalf. Please advise on how to proceed. <u>1/12/24</u> Application for service by publication denied. <u>2/15/2024 4:57 PM (amended to change home to business)</u> *Diligence*: 10430 S De Anza Blvd, Ste. 280 Cupertino California 95014 2/9/2024 10:35 AM Home Subject is not in. - Todd Brenneck 10430 S De Anza Blvd Ste 280, Cupertino, CA 950143025 2/13/2024 1:40 PM Home Subject is not in. - Todd Brenneck 10430 S De Anza Blvd Ste 280, Cupertino, CA 950143025 2/15/2024 4:57 PM Home Substituted service on: Brent Weith Lee, an individual; 10430 S DeAnza Blvd Ste 280, Cupertino, CA 95014-3025; by serving: Yi Lin -CPA/Accepting service.	Not entered 4/26/24 (Defendant's name does not match the complaint or the amended POS) BASIC 6/7/24 FULL 8/13/2024

		Mailed to: Brent Weiteh Lee, an individual, 10430 S De Anza Blvd Ste 280 Cupertino, CA 95014	

On July 29, 2024, a prove up hearing was held before the Honorable Carol Overton. The minutes from that hearing state:

> Counsel: Michael Berke is present remotely via Microsoft Teams for Plaintiff
>
> Counsel: Roy Manukyan is present in the courtroom for Plaintiff
>
> Plaintiff's counsel proceeds by offer of proof. Counsel gives a brief opening statement.
>
> Plaintiff dismisses Fraud Cause of Action.
>
> The Court requires counsel to provide authority why Alter Ego cause of action can stand alone. The Court hears argument of counsel.
>
> Plaintiff's witness: Paul Weinberger is sworn by the courtroom clerk and examined by Mr. Manukyan.
>
> The Court finds in favor of Plaintiff on 2nd cause of action: Alter Ego.
>
> The Court deems:
>
> Electronic exhibits admitted.
>
> Judgment rendered in favor of Plaintiff and against Defendants as follows:
>
> Principal: $133,559,132.52
>
> Plaintiffs counsel to submit judgment electronically

On July 31, 2024, Judge Overton did not enter the form of judgment provided by Plaintiff, stating: "Court is unclear on basis for attorneys' fees in action against alter ego defendants and evidence supporting requested amount. Also, as to request for prejudgment interest." After additional briefing and written evidence and Plaintiff's reduction of the requested amount, judgment was entered against all Defendants on January 29, 2025 in the amount of $2,900,094.94, comprised of $2,306,369.57 principal, 563,624.95 prejudgment interest at a rate of 8.25%, $28,082.35 in attorneys' fees, and $2,018.07 in costs.

II. Defendants' Request for Judicial Notice

Defendant asks the Court to take judicial notice of the items listed below and of the fact that Big Basin Way was closed due to landslides during certain periods from March 1, 2024 to the present and "of the facts admitted to by Plaintiff and its process server of the inability to effect serve any of the named defendants at 10430 S. De Anza Blvd, and that the only location for service has been at 10430 S. De Anza Blvd."

Ex 001 1997 LeGarden House Articles

Ex 002 2017 LeGarden HA articles

Ex 003 2017 LeGarden HC articles

Ex 004 2017 LeGarden HD articles

Ex 005 2023 07 16 Statement of Information LeGarden HA

Ex 006 2023 07 16 Statement of Information LeGarden HC

Ex 007 2023 07 16 Statement of Information LeGarden HD

Ex 008 2023 07 16 Statement of Information LeGarden House

Ex 009 2024 04 18 Statement of Information LeGarden HA

Ex 010 2024 04 18 Statement of Information LeGarden House

Ex 011 2024 06 10 Statement of Information LeGarden HC

Ex 012 2024 06 11 Statement of Information LeGarden HD

Ex 013 2023 10 25 POS Le Garden HC, LLC

Ex 014 2023 1025 POS Le Garden HD, LLC

Ex 015 2023 10 25 POS Le Garden House, LLC

Ex 016 2024 01 12 Application to Serve by Publication, Including Exhibit "A" to

Ex 017 2024 01 18 Order Denying Service by Publication

Ex 018 2024 01 22 POS Le Garden HA, LLC

Ex 019 2024 04 16 POS Brent Weiteh Lee

Ex 020 2024 05 28 POS Brent Weiteh Le

Defendants' request as to Exhibits 1-20 is GRANTED. These documents are either official court records or government records.

Defendants' request as to the two facts is DENIED. Whether Big Basin Way experienced some periodic closures is not relevant to the Court's analysis, and the Court will consider the process server's declaration of non-service according to what it says, not what counsel argues it says.

III. Legal Standard and Analysis

Defendants move to set aside default and default judgment pursuant to Code of Civil Procedure section 473 subs (d), authorizing the court on motion to set aside any void judgment or order, Code of Civil Procedure section 473.5 on the basis of lack of actual notice, and Code of Civil Procedure section 473 subs (b) on the basis of mistake, inadvertence or excusable neglect.

Code of Civil Procedure 473(d) codified the courts' general common-law power to control their own judgments. (*Olivera v. Grace* (1942) 19 Cal. 2d 570.) The underlying purpose behind the statute is to prevent injustice and to enable litigants to have their cases heard on merits. (*Frank E. Beckett Co. v. Bobbitt* (1960) 180 Cal. App. 2d Supp. 921.) This provision is remedial and should be liberally construed to bring about trial on merits whenever possible. (*A & S Air Conditioning v. John J. Moore Co.* (1960) 184 Cal. App. 2d 617.)

A default judgment entered against a defendant that was not served with summons in the manner prescribed by statute is void and must be vacated. (*Calvert v. Al Binali* (2018) 29 Cal.App.5th 954, 961-962; *OC Interior Servs., LLC v. Nationstar Mtg., LLC* (2017) 7 Cal.App.5th 1318, 1330-1331; *In re D.R.* (2019) 39 Ca.App.5th 583, 590 (judgment is void for lack of personal jurisdiction over party when there is no proper service of process on or appearance by party.) Under Code of Civil Procedure section 473(d), the court must set aside a default judgment that is valid on its face but void as a matter of law due to improper service. (*Ellard v. Conway* (2001) 94 Cal.App.4th 540, 544.) An order denying relief to set aside a default judgment where there has been improper service is also void. (*Calvert v. Al Binali* 29 Cal.App. 5th 954, 955.) Where there has been failure to comply with the statutory requirements for service, a defendant's actual notice of the lawsuit is irrelevant. (See *Abers v. Rohrs*(2013) 217 Cal.App.4th 1199, 1206; *Summers v. McClanahan* (2006) 140 Cal.App.4th 403, 414-415.)

Pursuant to Code of Civil Procedure section 473(b), "[t]he court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken."

Under Evidence code section 647, a registered process server's declaration of service establishes a presumption that the facts stated in the declaration are true. (*Rodriguez v. Cho* (2015) 236 Cal.App.4th 742, 750.) However, where a defendant challenges the court's personal jurisdiction on the ground of improper service of process, the plaintiff has the burden of proving the facts required for effective service. (*Summers v. McClanahan* (2006) 140 Cal.App.4th 403, 414-413.)

The Court carefully studied the service record and documents for which Defendants sought judicial notice and finds service followed the statutory procedures here and Defendants fail to overcome the presumption that the process server's declarations are accurate.

The individual Defendant could not be served at his residence, the process server submitted proof of diligence, and Defendant was therefore served at one of his listed regular business addresses that was not a P.O. box by substitute service on someone who—at the time—accepted service of the documents in that capacity. It is notable that the person who accepted such service did not submit a declaration stating they refused to accept service, but the process server left the documents anyway. And the "bad address" evidence Defendants point to confirms that the process server's other comments that the CPA accepting service were accurate. Defendant also admits that he received mailed documents regarding this lawsuit at his home address, confirming Plaintiff's representation that it was mailing documents related to this lawsuit there.

In sum, this record fails to support the relief any of the Defendants seek. Accordingly, Defendants' motion to vacate is DENIED.

IT IS SO ORDERED.

Date: ______________________ ____

Hon. Evette D. Pennypacker
Santa Clara Superior Court Judge

Line 6

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

SECOND OSBORN LLC, a Delaware limited liability company, Plaintiff, v. BRENT WEITEH LEE, an individua; LE GARDEN HA, LLC, a California limited liability company; LE GARDEN HC, LLC, a California limited liability company; LE GARDEN HD, LLC, a California limited liability company; LE GARDEN HOUSE, LLC, a California limited liability company; and DOES 1 through 100, inclusive, Defendants.	Case No. 23CV420315 **ORDER DENYING DEFENDANTS' MOTION TO QUASH THIRD PARTY SUBPOENAS**

Defendants' motion to quash third party subpoenas came on for hearing before the Court on June 12, 2025. Pursuant to California Rule of Court 3.1308, the Court issued its tentative ruling on June 11, 2025.

I. Background

Plaintiff Second Osborn LLC ("Second Osborn") filed this lawsuit on August 2, 2023 asserting claims for fraud and alter ego against Brent Weiteh Lee, Le Garden HA, LLC, Le Garden HC, LLC, Le Garden HD, LLC, and Le Garden House LLC. Plaintiff alleges it entered an agreement with Le Garden HB, LLC ("Le Garden HB") that required Le Garden HB to become obligated to comply with a ground lease associated with property Plaintiff owned at the time. According to Plaintiff, Brent Weiteh Lee owned Le Garden HB and provided false information about his finances which induced Plaintiff to enter the agreement. Plaintiff ultimately obtained a judgment against Le Garden HB, and Mr. Lee then transferred all assets out of Le Garden HB into his other business entities to avoid paying the judgment. Plaintiff sought compensatory and general damages in the amount of $133,559,132.52, among other relief.

After obtaining default against all Defendants in August 2023, a prove up hearing on July 29, 2024, and additional briefing and submissions, judgment was entered against all Defendants on January 29, 2025 in the amount of $2,900,094.94, comprised of $2,306,369.57 principal, 563,624.95 prejudgment interest at a rate of 8.25%, $28,082.35 in attorneys' fees, and $2,018.07 in costs.

Plaintiff now seeks discovery regarding Mr. Lee's finances to aid in collecting on the judgment and accordingly served subpoenas on several banks for Mr. Lee's financial records. Defendants move to quash those subpoenas on the grounds that the judgment is void and should be set aside, the subpoenas are not permitted under the Code of Civil Procedure, and the information sought by the subpoenas violate Mr. Lee's privacy rights. None of these arguments hold weight.

First, the Court denied Defendants' motion to set aside default and default judgment by order of this same date.

Next, *Shrewsbury Management, Inc. v. Superior Court* (2019) 32 Cal.App.5th 1213 is directly on point, still good law, and plainly permits the discovery Plaintiff seeks. Defendants provide no explanation in their reply for failing to cite this case. Indeed, Defendants do not mention the case, much less try to distinguish it, on reply.

Finally, it is true litigants have privacy rights, but those rights are not absolute. To determine whether discovery violates state constitutional privacy rights, courts apply the balancing test articulated in *Hill v. National Collegiate Athletic Ass'n* (1994) 7 Cal.4th 1. Under *Hill*, the party claiming violation of privacy rights must establish (1) a legally protected privacy interest, (2) an objectively reasonable expectation of privacy in the circumstances, and (3) conduct by propounding party that constitutes a serious invasion of privacy. (*Mathews v. Becerra* (2019) 8C.5th 756, 769, citing *Hill v. National Collegiate Athletic Ass'n* (1994) 7 Cal.4th 1, 39-40.) Not every assertion of a privacy interest must be overcome by a compelling interest. When lesser interests are at stake, a more nuanced framework applies, with the strength of the countervailing interest sufficient to warrant the disclosure of private information varying according to the strength of the privacy interest, the seriousness of the invasion, and the availability of alternatives and protective measures. (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 556-57.)

Here, the documents sought are directly relevant to collecting on the judgment. And a protective order limiting who can view these records and requiring special treatment if filed in the public record as part of motion practice can adequately protect Mr. Lee's concerns.

Defendants'' motion to quash is accordingly DENIED.

IT IS SO ORDERED.

Date: ______________________ ____

Hon. Evette D. Pennypacker
Santa Clara Superior Court Judge

Line 10

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

SERENITY MSO, LLC, a Georgia Limited Liability Company; and REZA GHORIESHI, an individual, Plaintiffs, v. PALO ALTO MIND BODY, a California Corporation; M RAMEEN GHORIESHI, MD, MPH, an individual; and DOES 1-10, Defendants.	Case No. 24CV432080 **ORDER GRANTING MOTION TO COMPEL ARBITRATION**

Plaintiff's Serenity MSO, LLC's ("Serenity") motion to lift stay pursuant to Code of Civil Procedure section 1281.4 came on for hearing before the Court on June 12, 2025. Pursuant to California Rule of Court 3.1308, the Court issued its tentative ruling on June 11, 2025.

I. Background

This is a dispute between brothers. Plaintiff Reza Ghorieshi is the principal owner of plaintiff Serenity MSO, LLC, and Rameen is the CEO and principal owner of PAMB. Rameen provides psychiatric services through PAMB. In essence, Reza alleges his work funneled patients to his brother, first in his individual capacity and later through Serenity, and that his brother underpaid him for that work.

Defendants Reza, PAMB, and Insperity PEO Services, L.P. ("Insperity") entered an arbitration agreement when PAMB engaged with Insperity to provide payroll and human resource relation services to PAMB. The three-way agreement is entitled "Mutual Arbitration Agreement" and provides that Insperity, Reza, and PAMB "mutually agree to resolve by arbitration Covered Claims", which the agreement defines to include "(a) all claims or disputes related to or arising out of . . .my employment, or the termination of my employment with [PAMB], and (b) all claims that . . .[PAMB] may have against me, and/or (c) all claims that I may have against Covered Persons." "Covered Persons" are defined to include PAMB and "its officers, directors, employees, affiliates or agents." Serenity is not a party to this agreement.

By order dated September 21, 2024, the Court ordered Plaintiff Reza's claims to arbitration and stayed the rest of the case. Serenity now requests that the stay be lifted pursuant to Code of Civil Procedure Section 1281.4.

II. Legal Standard and Analysis

Code of Civil Procedure Section 1281.4 provides:

> If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding,

> stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.
>
> If an application has been made to a court of competent jurisdiction, whether in this State or not, for an order to arbitrate a controversy which is an issue involved in an action or proceeding pending before a court of this State and such application is undetermined, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until the application for an order to arbitrate is determined and, if arbitration of such controversy is ordered, until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.
>
> If the issue which is the controversy subject to arbitration is severable, the stay may be with respect to that issue only. (Code Civ. Proc., § 1281.4.)

While Plaintiff presents its motion as one to lift the stay under this code section, it really reads as a motion for reconsideration. Motions for reconsideration are generally governed by Code of Civil Procedure section 1008, which represents the Legislature's attempt to regulate what the Supreme Court has referred to as "repetitive motions." (*Standard Microsystems Corp. v. Winbond Electronics Corp.* (2009) 179 Cal.App.4th 868, 885.) The legislative intent was to restrict motions for reconsideration to circumstances where a party offers the court some fact or circumstance not previously considered, and some valid reason for not offering it earlier. (*Gilberd v. AC Transit* (1995) 32 Cal.App.4th 1494, 1500; see *Baldwin v. Home Sav. Of America* (1997) 59 Cal.App.4th 1192, 1198.) The burden under Section 1008 "is comparable to that of a party seeking a new trial on the ground of newly discovered evidence: the information must be such that the moving party could not, with reasonable diligence, have discovered or produced it at the trial." (*New York Times Co. v. Superior Court* (2005) 135 Cal.App.4th 206, 212-213.)

Code of Civil Procedure section 1008 (c) further provides that if the court "at any time determines that there has been a change of law that warrants it to reconsider a prior order it entered, it may do so on its own motion." (*Farmers Ins. Exch. v. Sup. Ct.* (2001) 218 Cal.App.4th 96, 106-07.) There is no time limitation on this inherent power; the court may change interim orders based on a change of law at any time before final judgment is entered. (*Blake v. Ecker* (2001) 93 Cal.App.4th 728, 739.) In considering whether to reconsider a prior order, the court should examine the extent of preparation in the case, the proximity of a trial date, and "the materiality of the change in the law and the potential for prejudice to any of the parties." (*Phillips v. Sprint PCS* (2012) 209 Cal. App. 4th 758, 769.)

The Court is not persuaded by Plaintiff's arguments. However, the Court is considering the interplay between Code of Civil Procedure section 1281.2 (c) the FAA, and the CAA in another matter, and that same issue is relevant here. Specifically, where an arbitration agreement indicates that California law applies, the fact that an arbitration agreement is governed by the FAA does not necessarily preclude application of section 1281.2(c). As explained in *Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 380:

> Code of Civil Procedure section 1281.2, subdivision (c) permits a trial court, under specified circumstances, to stay arbitration pending the outcome of related litigation. In *Volt Info. Sciences v. Leland Stanford Jr. U.* (1989) 489 U.S. 468 [103 L. Ed. 2d 488, 109 S. Ct. 1248] (*Volt*), the United States Supreme Court held that the Federal Arbitration Act (FAA), 9 United States Code section 1 et seq., which applies to and favors the enforcement of arbitration agreements affecting interstate commerce, does not preempt the application of section 1281.2, subdivision (c) where the parties have agreed that their arbitration agreement would be governed by the law of California. In this case, the parties agreed that their arbitration agreement would be governed by California law, but they further agreed that the designation of California law "shall not be deemed an election to preclude application of the [FAA], if it would be applicable." As explained below, we conclude that, in this situation, the FAA also does not preempt the application of section 1281.2, subdivision (c).

The Court therefore invites the parties to appear at the hearing and provide further argument regarding the application of *Gloster v. Sonic Automotive, Inc.* (2014) 226 Cal. App. 4th 438, 449;

Cronus Investments, Inc. v. Concierge Services (2005) 35 Cal.4th 376, 386; *Rodriguez v. American Technologies, Inc.* (2006) 136 Cal.App.4th 1110; and *Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337.

IT IS SO ORDERED.

Date: ______________________ ____

The Honorable Evette D. Pennypacker
Judge of the Superior Court